legitimate businesses—to buy and book plots, houses and flats. Only a fraction of this demand was for the real need of owning a home; most of it was to make a quick buck. This runaway demand unleashed the ‘animal spirits’ of builders, who cared two hoots about the price of land. Land parcels were bought, many times even without caring for the right title, at whatever prices available, and houses and flats sold for cash in ‘pre-launch roadshows’, often even when the land was not in physical possession. All prices were zooming without anybody worrying about the bubble eventually bursting. Prices of Indian real estate, in many places, put real-estate prices in developed economies to shame.

Real-estate prices have a bad habit of going out of sync with their fundamental value, especially in such frenzied situations. The primary use of a house/flat is for living. Whether you live on rent or in your own house, you get the same economic value as far as the basic service of living is concerned. Therefore, interest payable on the amount of capital invested in a house/flat should be equal to the rental it earns/can earn. However, fundamental valuation was not driving demand, but the lure of capital gains. The rental value became a sideshow. If capital appreciation materialized, it did not matter whether the house remained unoccupied for five years without earning any rental income. The moment this kind of capital appreciation disappears from the equation, the house/flat people invested in becomes a liability rather than an asset.

Following the global financial crisis, which also had its origin in real estate, Indian real-estate prices stated stabilizing/correcting somewhere around 2011–12. Since then, there has been no significant increase in plot/house/flat prices in most places in India. Once real-estate prices stopped growing at high rates, speculative interest flagged. This brought down demand for residential real estate materially. Builders started feeling the pinch but chose to believe it was a short-term phenomenon and that the boom would soon return.